

ECONOMY — Five-Year Plans, Industrial Policy & 1991 Reforms

Batch 7/10 · Parmar Ch.10 (full) + Lucent \$6+\$8+\$13+\$14 (full) + PYQ buckets "06 Economic Planning" (64Qs) + "10 Industry & Infrastructure" (58Qs) + "12 NEP 1991" (46Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 Pre-Independence Planning Proposals

- Visvesvaraya Plan(1934) → "Planned Economy for India 1934" → India's earliest blueprint for planned dev, first systematic economic-planning proposal
- National Planning Committee(1938) → formed by S.C.Bose, 1st Chairman J.L.Nehru → first attempt at a National Plan (AICC also demanded planning, 1938)
- Bombay Plan(1944) → "A Plan of Economic Development for India" → by leading capitalists incl J.R.D.Tata(Parmar)/"8 industrialists"(Lucent) → published 2 parts(1944+1945)
- Gandhian Plan(1944) → "decentralised economic structure"/"self-contained villages"
- Peoples Plan → by M.N.Roy, Chairman Post-War Reconstruction Committee of Indian Trade Union(labour leader)
- Sarvodaya Plan(1950) → by Jaiprakash Narayan(founded Congress Socialist Party 1934) → "first blueprint" of planned dev of Independent India
- 5-yr-plan concept borrowed from USSR ← Joseph Stalin introduced it 1928 to industrialize Soviet Union
- Post-independence(1947): planning committee under Nehru → Planning Commission constituted March 1950 → format of 1st FYP prepared 1951

DOUBT Internal Lucent conflicts (as printed, not corrected): Peoples Plan dated 1945(Parmar) vs April 1944(Lucent p.260); Gandhian Plan author "Sriman Narayan"(Lucent p.260) vs "Acharya S.N. Agarwala, 1944, reaffirmed 1948"(Lucent p.261); Bombay Plan "leading capitalists like J.R.D. Tata" (Parmar) vs "8 industrialists"(Lucent) — count unconfirmed.

2 Planning Commission & NITI Aayog

- Planning Commission → set up **15 March 1950** ★, non-constitutional advisory body; first Chairman=Jawaharlal Nehru(PM=ex-officio Chair); first Deputy Chairman=**Gulzarilal Nanda** ★ [B]
- Pranab Mukherjee → served as Vice Chairman of Planning Commission
- 4 goals of FYPs: **Growth**(GDP), **Modernisation**(new tech), **Self-reliance**(inward-looking trade), **Equity**(dev of all) → "Dependency on foreign aid" was NEVER a goal ★ [B]
- Perspective Plan → long-term(20yr) plan FYPs build toward; ~75% of population dependent on agriculture at Independence
- Planning Commission dissolved **Aug 2014** → NITI Aayog constituted 1 Jan 2015 (cooperative federalism, "bottom-up" approach ★) [B]; NITI Aayog chairman=PM of India; policy think tank, non-constitutional; NITI=National Institution for Transforming India

3 Five-Year Plans I-III — Target/Achieved/Model/Focus

Plan	Target→Achieved(Verdict)	Model/Focus
First(1Apr1951-56) ★	2.1%→3.6%(Successful)	Harrod-Domar Model; Agriculture&Rural Dev; PM Nehru; FM= C.D.Deshmukh ★(not John Mathai, who resigned before Plan began though he gave 1st Republic budget); industrial sector only 13% of GDP(1950-51)
Second(1956-61) ★	4.5%→4.3%(Parmar)/4.21%(Lucent)(Moderate)	P.C.Mahalanobis Model aka " Mahalanobis Plan " ★; heavy industries/rapid industrialisation; based on IPR1956, "commanding heights"; criticised by B.R.Shenoy (foreign-loan dependence, threat to democracy via state economic-power concentration) ★

Third(1961-66)	5.6%→2.8%(Parmar)/2.72%(Lucent)/2.4%(PYQ text)(Failure)	Gadgil Formula; central-assistance allocation for states; failed: Sino-Indian War(1962)+Indo-Pak War(1965)+severe drought(1965-66) ★; PL480 wheat-import scheme; Lal Bahadur Shastri PM, "Jai Jawan Jai Kisan"
-----------------------	---	--

DOUBT Third FYP achieved-growth figure: 2.8%(Parmar) vs 2.72%(Lucent) vs 2.4%(PYQ explanation text) — 3-way conflict, all preserved.

- P.C.Mahalanobis → Chief Architect of Indian Planning ★/"Father of Indian Statistics" ★; birth anniversary 29 June=Statistics Day; founded Indian Statistical Institute Kolkata; journal "Sankhya"
- "Planning in real sense began with 2nd FYP(1956-1961)" ★
- 2nd FYP → technical/financial cooperation from USSR+Britain+West Germany ★; 3 steel plants: Rourkela(Odisha,German), Durgapur(WB,British), Bhilai(Chhattisgarh,USSR); 1st steel plant of India=TISCO(Jamshedpur); prioritized sectors ★: iron&steel/fertilizer/heavy engineering/lignite projects; SSIs given protection
- Avadi Session(1955, Congress) → adopted "socialist pattern of society" goal, priority to heavy industries+public sector ★
- 1st FYP → Bhakra Nangal Dam(Sutlej), Hirakud Dam(Mahanadi), Nagarjuna Sagar Dam(Krishna); 5 IITs(IIT Kharagpur 1951=first); agri reforms: "Land of tiller" policy(end zamindari), Land Ceiling Act(1976, printed under 1st FYP despite date mismatch △), HYV seeds, 1952 Community Development Programme
- Institutes est. 1963-65 → FCI(14Jan1965), CACP(1Jan1965), IDBI(1Jul1964), UTI(Act1963→est.1Feb1964)

4 Plan Holiday & Five-Year Plans IV-V

- Plan Holiday(1966-1969) → break in FYPs due to war/drought strain; "New Agriculture Strategy"/"Green Revolution"→HYV adoption(1st phase mid1960s-70s, 2nd phase mid1970s); rupee devalued 1966 ★; 1971 Bangladesh Liberation War

DOUBT Green Revolution timing: Parmar places it in Plan Holiday(1966-69); Lucent+PYQ place it during the **Third FYP(1961-66)**, objective=agri self-reliance, credit to **Dr. M.S. Swaminathan** ★ — both versions kept.

Plan	Target→Achieved(Verdict)	Model/Focus
Fourth(1969-74, PM Indira Gandhi)	5.6%(Parmar)/5.7%(Lucent)→3.3%(Parmar)/2.05%(Lucent)(Failure)	Gadgil Formula/Rudra-Allen Model(Parmar)/"Ashok Rudra&Alon S.Manney"(Lucent); "Growth with Stability"+"Progressive Achievement of Self-reliance" ★; Indira Gandhi=ex-officio Planning Commission Chairman ★
Fifth(1974-78 Parmar/1974-79 Lucent)	4.4%→4.8%(Parmar)/4.83%(Lucent)(Moderate)	D.P.Dhar Model/"Investment Model of Planning"(Lucent); Employment&Poverty alleviation("Garibi Hatao"); Minimum Needs Programme(1974, basic needs: education/health/drinking water/housing/roads) ★

- 4th FYP key initiatives: Family Planning Programme introduced; 14 major banks nationalised(1969) ★; MRTP Act 1969 implemented(later replaced by Competition Act 2002) ★; First Underground Nuclear Test "Smiling Buddha"(1974, PM Indira Gandhi, President V.V.Giri); Drought Prone Area Programme(1973-74)
- 5th FYP key programmes: **20 Points Programme(1975)**(↓ poverty/↑ quality of life); Regional Rural Banks(RRBs) set up(1975); **Hill Area Development Programme** initiated during 5th FYP ★(balanced dev of backward hill-area resources)

HOOK IDBI separated from RBI in **1976** ★, brought under full Central Govt ownership for greater autonomy as apex industrial-financing institution — previously questioned as "unsourced" in an earlier review of this project; CONFIRMED present verbatim in the PYQ source (bucket 06, Q14 explanation).

District Industries Centres(DICs) → established **1 May 1978**, during 5th FYP, under Industrial Policy 1977 ★ → assist MSMEs/SSIs in rural/semi-urban areas.

5 Rolling Plan & Five-Year Plans VI-VII

- Rolling Plan(1978-1980) → introduced by Janata Party/Morarji Desai govt; ↑ GDP/employment/agri production; inspired by **Gunnar Myrdal's "Asian Drama"**; introduced by then Deputy Chairman **D.T.Lakdawala** ★

Plan	Target→Achieved(Verdict)	Model/Focus
Sixth(1980-85, PM Indira Gandhi) ★	5.2%→5.7%(Successful)	↑ National Income, tech modernisation, ↓ poverty/unemployment via TRYSEM+IRDP+NREP; NABARD est. 12 July1982 ★; RLEGP launched 15Aug1983; "Garibi Hatao"(Nehruvian model); SSIs=key exporters/employment generators ★
Seventh(1985-90, PM Rajiv Gandhi) ★	5%→6%(Successful)	"Food,Work,Productivity"; Jawahar Rozgar Yojana(1989,merged NREP+RLEGP); laid foundation for 1990s liberalisation/modernisation(License Raj relaxation, 1st private-sector investment priority) ★; Dept of Biotechnology set up

- Hindu Rate of Growth(concept 1978, Prof.Raj Krishna) → signifies India's slow growth 1960-1980
- NREP initiated Oct1980(PM Indira Gandhi), regular from Apr1981, during 6th FYP ★

6 Annual Plans & Five-Year Plans VIII-XII

Plan	Target→Achieved(Verdict)	Model/Focus
Eighth(1992-97, PM Rao)	5.6%→6.8%(Highly Successful)	structural adjustment policy, "New Indicative Policy"; Public-sector share declined(License Raj ended); delayed launch 2yrs(BoP crisis+ ↑ foreign debt) ★
Ninth(1997-2002, PM Vajpayee)	6.5%→5.4%(Parmar)/5.5% (Lucent)(Failure)	"Growth with Social Justice&Equality" ★(NOT 10th Plan — tested distractor); public-sector emphasis declined further after this plan ★; Pokhran II(May1998)
Tenth(2002-07, PM Vajpayee+Singh)	8%→7.6%(Parmar)/7.7% (Lucent)(Failure)	Deputy Chairman= K.C.Pant (5Feb1999-17Jun2004) ★; double per-capita income in 10yrs, ↓ poverty ratio to~5% by2007; National Horticulture Mission, Jute Technology Mission, Micro Irrigation Programme
Eleventh(2007-12)	9%→8%(Failure)	rapid&more inclusive growth; overlapped 2008 global financial crisis; Lucent: "Prepared by Prof.C.Rangarajan"
Twelfth(2012-17, PM Singh)	8%(Parmar)/9.0%(Lucent)	faster/inclusive/sustainable growth

DOUBT Twelfth FYP target: 8%(Parmar) vs 9.0%(Lucent, table) — PYQ resolves this: target was reduced 9%→8% due to Eurozone debt crisis+2008 GFC aftermath ★, so Parmar's 8% is the post-revision figure.

- 65% of population still employed in agriculture even as late as 1990(GDP-share from agri declined 67.5%→64.9%, 1950-1990, but not workforce share); 8th FYP couldn't take off in 1990(political uncertainty), 1990-91&1991-92 treated as Annual Plans, launched 1992
- National Renewal Fund(NRF) → constituted Feb1992(8th FYP) → protect workers hit by 1991 reforms(retraining/redeployment/VRS assistance); abolished 2000 ★
- "In India, 12 FYPs have been implemented so far"(Lucent, as printed)

PURA Model → Union Cabinet approved(in principle) 20 Jan2004; Dr.A.P.J.Abdul Kalam emphasised PURA(Providing Urban Amenities in Rural Areas) to eradicate poverty; neo-Gandhian(modern tech/amenities to rural areas); 11th Plan provided ₹248cr for PURA in PPP mode.

7 Types of Planning & Models of Development

- Imperative Planning → Central authority decides every aspect(socialist economies) | Indicative Planning → State sets broad parameters only, adopted in India since 8th FYP | Perspective Planning → 15-20yr long-term, via FYPs+Annual Plans | Rolling Plan → 3 steps(current-yr plan + 3-5yr revised-annually plan + 10-20yr perspective plan) | Core Plan → Planning Commission uses state revenue estimates to set Annual Plan expenditure heads, prevents fund diversion
- Nehru-Mahalanobis Model → driving force since 2nd FYP till the 1980s; "Growth with social justice"; State controlled commanding heights via public sector
- Gandhian Model → raise material+cultural level of masses; scientific agri dev+cottage/village industries(Nehru prioritized heavy industry instead)
- LPG Model → introduced 1991 by FM Manmohan Singh; bigger private-sector role; large FDI envisaged; export-led growth(vs earlier import substitution); reduces State's role

8 Industrial Policy Resolutions — 1948 & 1956

- 1st IPR(1948) → first official industrial policy of independent India; led by **Dr.Shyama Prasad Mukherjee**(Industry&Commerce Minister); presented in Parliament 1948 ★; declared India a Mixed Economy; public+private coexistence consensus ★
- 4 categories(1948): Strategic(Public-Railways/defence/atomic energy), Basic/Key(Public-cum-Private-coal/steel/aircraft/telecom), Regulated(Controlled Private-sugar/cement/textiles), Other(Private&Cooperative-consumer goods/SSI); started License Raj; laid foundation for public-sector dominance
- Karve Committee(Village&Small-Scale Industries Committee) → est. by Planning Commission 1955, chair Dattatreya Gopal Karve; promoted rural industrialisation via SSIs during 2nd FYP; recommended labour-intensive small-scale over large-scale capital-intensive industry ★

HOOK 2nd IPR(1956) → "**Economic Constitution of India**" ★; objective="**growth with equity**" ★/equitable income-wealth distribution; "socialistic pattern of society"; public sector given "commanding heights"(doctrine coined by **Vladimir Lenin,1922**); 3 Schedules ★: A(17 industries-Public Monopoly: aviation/atomic energy/railways/arms/steel), B(12 industries-Public&Private: aluminium/machine tools/chemicals), C(All Other-Private: consumer goods/textiles/automobiles); based on Mahalanobis Model; encouraged backward-region industries; licensing objective=state control per planned priorities+prevent monopolies ★.

Joint Sector → partnership btwn public+private; **Dutta Committee(1973)** recommended Joint Venture Sector in Indian Industry ★.

9 Industrial Policy Resolutions — 1977, 1980 & MRTP/FERA

- 3rd IPR(1977, extension of 1956) → introduced by Morarji Desai(Janata Party); emphasised SSI growth; "**Tiny Unit**" concept(investment <₹1 lakh); restricted MNCs(self-reliance); decentralisation focus, introduced District Industries Centres concept(shift industry from big cities to small towns) ★
- 4th IPR(1980, Indira Gandhi Govt) → shifted focus back to heavy industries(Parmar)

- Encouraged foreign tech transfer/investment(FERA Act 1973, printed under this policy despite date mismatch △); MRTP Act(1969) amended to remove asset-threshold limits; tiny-unit limit ↑ to ₹2 lakhs
- MRTP Act → firms w/ assets above threshold(₹100cr since1985) classified MRTP, restricted case-by-case entry; scrapped by IPR1991; replaced by **Competition Act 2002** → Competition Commission of India(CCI) established ★

DOUBT IPR 1980 emphasis: Parmar says it shifted focus back to heavy industries; Lucent frames it as "influenced by federalism ... concession to agriculture-based industries" — differing framing, both preserved.

10 IPR 1991 — Economic Liberalisation

- IPR 1991 announced **24 July 1991** ★; shift from inward-looking(closed) to outward-oriented(open) economy; PM P.V.Narasimha Rao, reforms led by FM Manmohan Singh, during 1991 BoP crisis ★
- Before-1991: License Raj, Public Sector Dominance, High import barriers, Restricted FDI, Import substitution → Result: low competition/inefficiency/slow growth
- LPG terms: Liberalisation(↓ govt regulation, frees markets); Privatisation(shift PSU ownership/mgmt to private); DIPAM(Dept of Investment&Public Asset Mgmt, ex-Dept of Disinvestment, Min. of Finance) manages disinvestment
- Key Measures(1991): End of License Raj(except few industries), Disinvestment in PSUs, FDI liberalisation(automatic route), ↓ public-sector monopoly, greater market-force role
- Macroeconomic Reforms: Rupee Devaluation 2 stages(**9% 1July+11% 2July**) ★, cumulative~18-20%; Fiscal Deficit(1990-91)~10% of GDP; Anti-Dumping Duty introduced; HDFC Bank=first private-sector bank after liberalisation
- After-1991: ↑ FDI inflows; private-sector growth(↑ competition/efficiency); shift ISI→EOI(Export-Oriented Industrialization); global integration; BPO-sector emergence; Managed Floating Exchange Rate adopted
- Structural changes: services GDP-share ↑~39%(1991-92)→55-60%(recent); agriculture GDP-share ↓~30%(1990-91)→15-18%; manufacturing largely stagnated

HOOK IPR1991 specifics(Lucent): abolished all industrial licensing except security/strategic/social/safety/environmental/hazardous/elitist-consumption industries; FDI up to **51% equity** in high-priority industries approved; public-sector-reserved industries(17 since1956)→reduced to **4 areas**(arms&ammunition/atomic energy/mineral oils per1953 order/railways); mandatory convertibility clause(banks' loan→equity option) abolished; location policy liberalised(no approval outside million-plus cities except compulsory-licensing industries); Phased Manufacturing Programmes abolished for new projects. PYQ confirms focus=(I)easier foreign investment + (II)exit policy for sick private units(smooth exit w/o hurting labour welfare) — both correct ★.

Trade-policy reforms(1991) ★: ↓ import tariffs on capital goods, abolished quantitative restrictions+licensing(→easier foreign-tech access, globally competitive mfg); removed import quotas, drastically ↓ export duties, abolished import licensing(except hazardous/environmentally-sensitive goods). LERMS(Liberalised Exchange Rate Management System) → dual exchange-rate system, introduced 1992(March1992 per PYQ) ★, part-market-rate/part-RBI-fixed-rate conversion. FDI limit in foreign private banks progressively ↑ to **74%** ★. Washington Consensus does NOT include export subsidies — advocates trade liberalisation+eliminating subsidies for market competition ★(tested distractor).

11 CPSE Classification — Maharatna/Navratna/Miniratna

Category	Count & Criteria
Maharatna	14(Parmar); criteria=Navratna status+listed on Indian exchanges+3yr avg turnover≥₹25,000cr+net worth≥₹15,000cr+net profit≥₹5,000cr ★; invest ≤₹5,000cr/15% net worth w/o govt approval; List(May2025): BHEL,BPCL,CIL,GAIL,HPCL,IOCL,NTPC,ONGC,PFCL,PGCIL,SAIL,RECL,OIL,HAL; PFC awarded Maharatna Oct2021 ★
Navratna	26(Parmar)/15+ listed(Lucent, 1 entry illegible); criteria=Miniratna CategoryI/ScheduleA + score≥60/100 on 6 parameters ★; invest ≤₹1,000cr/15% net worth w/o approval; introduced 1997(9 initial cos: SAIL/IOC/BPCL/HPCL/BEL/HAL/ONGC/NTPC — 8 printed), later added GAIL(Aug1984)/MTNL/NMDC/PFC/PGCIL/REC/NALCO/SCI/CIL; RCF awarded Navratna Aug2023 ★

Miniratna	approx.73(Parmar)/59=49+10(Lucent, 25May2025); CategoryI=profit 3 consecutive yrs OR pre-tax profit $\geq$ ₹30cr in $\geq$ 1 of 3yrs; CategoryII=profit 3 consecutive yrs+positive net worth; examples Airport Authority of India/Bharat Dynamics; GRID-INDIA conferred Miniratna-I status 20 March2024
------------------	---

DOUBT CPSE counts differ book-to-book (Navratna 26 vs 15+; Miniratna ~73 vs 59) — both preserved; these lists change frequently, verify current DPE list before relying.

12 Disinvestment & Privatisation

- Types(Parmar): Minority(govt retains $>51\%$ +mgmt control), Majority(govt stake $<51\%$), Strategic(sale $\geq 50\%$ +mgmt-control transfer), Complete Privatization/Full Exit(100% equity sold)
- Lucent framing: disinvestment beyond 51% govt stake=majority-private control; Privatisation=ownership+mgmt change; Disinvestment=wider term(stake dilution $\rightarrow$ ownership transfer)
- Disinvestment Commission $\rightarrow$ constituted **August 1996**; first Chairman=**G.V.Ramakrishna** ★(printed "Ramkrishna" in one instance); suggested core-sector max 49% disinvestment, non-core up to 74%; shares to small investors/employees; greater PSE autonomy suggested
- VRS("Golden Hand Shake Scheme") $\rightarrow$ full compensation for voluntarily-exiting employees, $\downarrow$ PSE financial burden
- Minority sale ★ = govt sells $<51\%$ shares to private/public, mgmt/control stays with govt | Strategic Disinvestment/Privatisation ★ = govt sells $>51\%$ stake + transfers mgmt control
- Disinvestment objectives ★: $\downarrow$ fiscal deficit, reallocate resources(health/education), $\uparrow$ PSU efficiency $\rightarrow$ leads to REDUCTION in govt's financial assets(not increase/liability/tax-revenue)

A-R ★ [B]: disinvestment widely criticised in India(TRUE, lack of social security+strategic assets sold cheap) — but NOT because it increased PSU market monopoly(Reason FALSE; actual objective=promote privatisation/competition).

13 New Economic Policy 1991 & Reforms

- NEP: reform production pattern, adopt new tech, use full capacity; first devised/implemented **1985(PM Rajiv Gandhi)**; second wave 1991(PM Rao); 1991 trigger=Gulf War+BoP problem
- 3 NEP objectives: Liberalisation, Privatisation, Globalisation; reform sectors: Fiscal/Monetary/Value(Price) Fixation/Foreign/Industrial/Foreign Investment/Business/Public Sector Policy
- First Generation Reforms=macro-level stabilisation(industry liberalisation/deregulation, financial-sector reforms, taxation reforms); Second Generation Reforms=micro-level structural(labour/land/capital-market reforms, expenditure/power-sector reforms)
- Poverty declined 36%(1993) $\rightarrow$ 26%(end of 10th plan, Lucent); inequality increased per World Bank Report 1999-2000

HOOK Large-scale reforms initiated **24 July 1991** ★, PM Rao+FM Manmohan Singh, "Rao-Manmohan model"/"New Economic Policy", based on LPG model ★; objective=overcome BoP crisis, dismantle License Raj, make economy globally competitive ★. 1991 crisis root cause ★: external-debt+BoP crisis, forex sufficient for only ~2 weeks of imports; immediate cause=oil-price rise from Gulf War+rising foreign-loan interest $\rightarrow$ govt forced to mortgage gold ★. Stabilisation short-term objective ★: control inflation(~17% then)+improve BoP; rupee devalued ~18-20% in 2 stages July1991 to boost exports+attract forex(NOT reduce inflation/ $\uparrow$ foreign aid, distractors) ★. IMF loan ~\$7bn conditional on LPG reforms; IBRD/World Bank gave policy guidance+funds for structural reforms ★.

NOT a goal of 1991 reforms ★: expanding public-sector control(reforms aimed to LIMIT public-sector role, $\uparrow$ private participation — repeated distractor across multiple PYQs). Trade-policy reforms $\downarrow$ tariffs+removed licensing on capital-good imports $\rightarrow$ globally competitive mfg, easier machinery import ★.

14 Liberalisation, Privatisation & Globalisation — PYQ Deep-Dive

- Liberalisation objective ★: remove barriers to entry/growth of firms(License Raj restricted entrepreneurial freedom); ended "license-permit raj"(govt permission for nearly every business decision)
- Economic liberalisation affects ALL 3 sectors(Primary/Secondary/Tertiary) ★ — $\uparrow$ investment/competition/efficiency

- A-R ★: 1991 reforms opened economy to foreign investors(TRUE) — but NOT because govt wanted to rapidly ↑ domestic savings rate(Reason FALSE; real primary reason=BoP crisis+forex shortage)
- Sectors excluded from licensing post-1991: alcohol/cigarettes/hazardous chemicals/industrial explosives kept compulsory-licensed(security/health/environment); textiles/fertilizers/chemicals EXEMPTED ★
- "Streamlining of regulations" ★ = simplifying business rules to ↓ red tape, promote EoDB
- EoDB 'Enforcing Contracts' indicator ★ = time/cost/quality of judicial process for commercial-dispute resolution; 'Starting a Business' = 1 of 10 EoDB indicators, NOT weighted more than others ★
- MCA21 ★ = e-governance(Ministry of Corporate Affairs) digitising company registration/compliance; SPICe+ integrated forms(name/registration/PAN/TAN together)
- Financial-sector reforms based on **Narasimham Committee** recommendations ★ → allowed private-sector banks(ICICI/HDFC emerged); ↑ FDI limit in banking
- Globalisation opened economy to global markets, allowed MNC entry/investment ★; FDI=key globalisation component(capital/tech/mgmt skills)

TRAP Two A-R pairs frequently confused ★: (1) Globalisation ↑ inequality in India(TRUE) — because growth unevenly distributed(urban-elite/service-sector benefit more)(Reason TRUE, correct explanation). (2) Globalisation ↑ outsourcing of services to India(TRUE) — but NOT because India offers "high-cost,low-skill" services(Reason FALSE; India actually offers LOW-cost,HIGH-skill IT/software services).

WTO role ★: ensures fair/rule-based trade(NOT military/human-rights/migration control); established **1 Jan1995**, HQ Geneva; handles dispute settlement, ↑ market access for developing countries via MFN+national-treatment. Open economy ★: trade in goods/services allows wider consumer/producer choice. Tax reforms post-1991 ★: lowered income-tax rates — based on **Laffer Curve**(excessive rates→↑ evasion; moderate rates→↑ compliance&revenue). Agri-sector decline post-1991 ★: shift to export-oriented cash crops + reduced public investment in irrigation/power/rural infra. WTO membership(1995, founding member) ★ → multilateral framework integrating India w/ global trade, ↓ import barriers, ↑ global-value-chain participation. FDI=key component of **Globalisation** pillar ★(not Liberalisation/Privatisation/Nationalisation). LPG: "P"=Privatisation(PSU ownership/mgmt/control transfer to private) ★; L=Liberalisation(relax rules); G=Globalisation(integrate w/ world economy). Second Generation Reforms(late1990s-2000s) ↑ FDI limits in automobiles/telecom/insurance → significant ↑ FDI inflow ★. License Raj negative consequence ★: entry barriers, stifled innovation, inefficiency; Hazari Committee(1960s) called it "**Corporate Imperialism**" ★; eliminated largely via 1991 Reforms. Key 1991 reform addressing PSU inefficiency = disinvestment+strategic privatisation+abolishing compulsory licensing(↑ private entry/competition) ★. A-R ★: NEP1991 led to more efficient/competitive markets(TRUE) — because Privatisation ↓ govt control+↑ PSE productivity(Reason TRUE, correct explanation).

15 Public Sector, SSIs & MSMEs

- PSE(def) → all undertakings owned by govt/public; 7 Public Sector objectives: rapid econ dev via infra, generate dev finance, redistribute income/wealth, create employment, encourage SSI/ancillary industries, promote exports+import substitution, promote balanced regional dev
- Sick Industrial unit(def) → company(≥5yrs) w/ accumulated losses≥net worth OR ≥50% of avg net worth(preceding 4FYs) + failed debt repayment 3 consecutive quarters despite written demand
- SSI/Cottage Industry importance: Employment Generation(labour-intensive), Equitable Distribution, Small-Savings Mobilisation, GVA Contribution(MSME~32% per ES2017-18), Environment Friendly; problems=finance/raw-material/marketing access, large-scale competition
- MSME(current) → ~30% of GDP, ~46% of exports, employs >11.10cr people; new composite definition(investment+turnover) effective 1 July2020(Atma Nirbhar Bharat), identical mfg/services limits

Category	Old(Mfg / Services)	New(Investment & Turnover)
Micro	≤₹25L / ≤₹10L	Invest≤₹1cr & Turnover≤₹5cr
Small	₹25L-5cr / ₹10L-2cr	Invest≤₹10cr & Turnover≤₹50cr
Medium	₹5-10cr / ₹2-5cr	Invest≤₹50cr & Turnover≤₹250cr

MSME registration: NSS 73rd round(2015-16)=633.88 lakh unincorporated non-agri MSMEs; Udyam/UAP(10Oct2024)=5.20cr registered(2.20cr Informal Micro Enterprises); Retail&wholesale trades included as MSMEs from July2021(PSL benefits only); Udyam Assist Platform launched Jan2023. Financial institutions(Ch.13): Indian Industrial Investment Bank Ltd est.17March1997(₹1000cr capital, HQ Kolkata); SIDBI est.1990(also printed 1989 elsewhere△); IFCI est.1July1948; ICICI est.1955; IDBI est.1July1964; IRBI est.1971(reconstructs sick units); UTI est.1964; Abid Husain Committee=SSI reforms.

16 Industry Classification — PYQ Deep-Dive

- Karve Committee(1955) supported rural industrialisation via SSI, NOT large-scale capital-intensive urban mfg(A-R: A true, R false) ★
- SSI classification → earlier only investment-based; from 2020, composite(investment+turnover) criteria ★
- PSU ownership/mgmt held entirely/primarily by govt; primary objective NOT just profit but social welfare+strategic-sector development(defence/railways/atomic energy) ★
- Cooperative sector industries → owned/operated on mutual cooperation, profit&loss shared among members, objective=socio-economic welfare not just profit ★
- India Industrial Land Bank(IILB) → GIS-based platform for industrial-park/land/infra info; managed by **DPIIT**(Commerce&Industry Ministry), NOT Ministry of Mines ★
- IBC 2016 → resolves failed-business debt disputes within 180-330 days; accelerates NPA recovery, revives debt-ridden cos, promotes EoDB ★
- Capital goods industry = produces machines/tools/equipment for producing other goods(not direct consumption); "backbone of economy" ★

Classification	Basis / Examples
Heavy Industries ★	capital-intensive, bulky/heavy raw materials(iron ore/coking coal/limestone); produce machinery/cranes/large vehicles — eg shipbuilding, automobile, iron&steel
Light Industries ★	light raw materials → consumer goods, low capital/energy — eg sewing machines, paintbrushes, watches, electric bulbs
Basic Industries	backbone-of-economy, supply raw materials to other sectors — eg aluminium smelting→automobile/construction/electricity
Consumer Goods Industries ★	direct-consumption goods — toothpaste/soap/clothes/shoes (distinct from basic/capital-goods: iron&steel/aluminium/copper smelting)
Agro-based Industries ★	raw material from agri produce — cotton textile(cotton), sugar(sugarcane) — distinct from mineral-based(cement/petrochemicals/steel/aluminium)

Sugar industry ★: seasonal(sugarcane harvest-bound); sucrose content decreases during transport(mills sited near cane fields, "weight-losing raw material"); major states=UP/Maharashtra/Karnataka/TN(Bihar in some variants); India=2nd-largest sugar producer after Brazil, 1st in gur&khandsari. Sindri Fertilizer Plant ★ = first major public-sector industrial unit of independent India, est.1951, Dhanbad(Jharkhand), sited near Jharia coalfield. Fertilizer industry ★: India NOT self-sufficient in potash(fully import-dependent); Urea=most-produced/demanded nitrogenous fertilizer; production ↑ after Green Revolution; Gujarat&Kerala are LEADING(not marginal) fertilizer producers — tested false-statement combo. Chennai="Detroit of India" ★(auto hub: Hyundai/Ford/BMW/TVS/Ashok Leyland) — NOT a petrochemical hub(that's Jamnagar/Dahej, Gujarat). Rising urban non-manual tertiary employment ★ = signals "emerging service economy" transition.

SEZ policy launched India April2000(China-model), 8 existing EPZs converted; SEZ Act2005 effective 10Feb2006 ★. FIPB constituted under Industrial Policy 1991 to facilitate/regulate FDI; abolished 2017(EoDB) ★. National Infrastructure Pipeline(NIP): announced 2019-20, launch considered 2020; ₹111 lakh crore infra investment(2020-2025) target ★. DPIIT=nodal dept for mfg/industrial promotion(+Gati Shakti Logistics Division) ★; Deepak Parekh Committee(2008)=affordable-housing financing ★. Industrial-Revolution-era Britain ★: 18th-century capital(trade/colonial expansion/agri revolution) reinvested by merchants/industrialists(not feudal aristocracy) into industrial tech/factories — power shifted from feudal aristocracy to trader/industrialist/capitalist class.

17 Industry Sector Performance (Lucent §14)

- IIP(BHARAT2025): 2023-24 growth 5.9%(mining7.5%,mfg5.5%,electricity7.1%); Index of Eight Core Industries(coal/crude oil/nat.gas/refinery/fertilizers/steel/cement/electricity)=~40.27% of IIP weight;

growth avg(-)0.6%(2018-21)→10.4%(2021-22)→7.8%(2022-23)→7.6%(2023-24prov, steel&coal double-digit)

- Coal → ~55% of India's energy needs; production ↑12.24%(Apr-Oct2021) vs -3.91%(2020); 716.08MT raw coal(2020-21) vs730.87MT(2019-20); demand projected 1.3-1.5 Billion Tonnes by2030(NITI Aayog); 30,000Ha green cover via75mn trees by2030 target
- Textiles → T&A export share=8.21%(2023-24); ~7% industrial production/2% GDP/15% export earnings; employs~45mn; India=largest cotton&jute producer, 2nd-largest silk&MMF producer; mill sector=3,400 mills/50mn+ spindles/8.42 lakh rotors(2nd largest globally); Kanpur="Manchester of North India"
- Silk → ~97% raw mulberry silk from Karnataka/AP/TN/WB+J&K; "Queen of Textiles"; only country producing all4 varieties(Mulberry/Eri/Tasar/Muga); 2nd-largest producer after China(38,913 MTs)
- Cotton → ~23% global fibre production; ~60% of India's textile raw-material basket; sustains~6mn farmers+40-50mn related workers; largest cotton area globally(~127 lakh ha=~38% world area); 2023-24 output=327.45 lakh bales
- Jute → India=largest global producer(~80 lakh bales/yr); 0.37mn organised-mill jobs | Wool → India=9th-largest producer(33.98mn kg,2023-24; 85% carpet-grade); yield/sheep=0.9kg vs world 2.4kg
- Steel → crude/finished production ↑25.0%/28.9%(Apr-Oct2021-22 YoY) to66.91MT/62.37MT; finished-steel consumption ↑25.0% to57.39MT; sponge-iron capacity43.4MT(2015-16), world's largest producer every yr since2003(except2016); net pig-iron exporter; crude-steel capacity179.51MT(BHARAT2025)
- Electronics → domestic production ₹1.90 lakh cr(FY15)→₹9.52 lakh cr(FY24), CAGR17.5%; smartphone-import dependence cut to1%(99% domestic); FY24~33cr mobile units, >75% 5G-enabled

HOOK Infrastructure snapshot: Road network=63.4 lakh km(NH=1,46,195km, 2% of network carries~40% freight, 78% of transport-services GVA FY23). Railways: 17 new Vande Bharat pairs+228 coaches(Apr-Oct2024); GCT91 commissioned/234 approved(by31Oct2024); 30GW renewable target by2029-30(375MW solar+103MW wind by Oct2024); 434 economic-corridor projects worth₹11.17 lakh cr on GatiShakti portal; Mumbai-Ahmedabad HSR(508km, sanctioned Dec2015,₹1.08 lakh cr,47.17% progress Oct2024); DFC 2,741/2,843km(96.4%) commissioned; Kavach ATP=₹1,547cr invested; Electronic Interlocking at227 new stations FY25(total3,576); first Direct Drive Interlocking at Tajpur(Nov2024). Aviation: AAI capex>₹91,000cr(FY20-25,~91% done); UDAN=619 routes/88 airports(incl2 water aerodromes+13 heliports); airport cargo capacity8.0mn MT(FY24). Ports: Sagarmala; VadHAVAN Mega Port(>₹76,000cr,9 container terminals); Tuticorin ICT(Sept2024,6 lakh TEU)+outer harbour(+4mn TEU); Chabahar+INSTC(43% vessel-/34% container-traffic rise FY24); Sittwe Port Myanmar(Kaladan Project, alt NE route); Kandla=Asia's First Green SEZ(IGBC Platinum,26July2021). Telecom: 5G in779/783 districts(4.6 lakh+ BTS); BharatNet=6.92 lakh km OFC(Dec2024), 2.14 lakh GPs service-ready(5,032 via satellite), 12.04 lakh FTTH connections. Power: installed capacity456.7GW(+7.2% YoY,Nov2024); renewables209.4GW(↑15.8% YoY from180.8GW Dec2023,~47% of total,Dec2024). Mining: ~8% of industrial output; top5 states(Assam/Chhattisgarh/Gujarat/Maharashtra/Odisha)=~60% mining GSVA.

National Logistics Policy(2022) complements PM GatiShakti by streamlining logistics processes/regulation/skills/tech. **Make in India**(Sept2014, "Vocal for Local") → 27 sectors(DPIIT:15 mfg + Dept of Commerce:12 service). **Startup India**(2016) → 3 pillars(simplification&handholding, funding support, industry-academia partnership); by July2024=1,43,549 startup certs across56 industries/670+ districts, >15.80 lakh jobs since2016. Startup India Seed Fund Scheme(SISFS) → DPIIT, ₹945cr outlay, supports~3,600 entrepreneurs via300 incubators. Trade Performance(Apr-Dec2024): non-petroleum exports+7.1%; non-petroleum-non-gems-jewellery exports+9.1%; sectoral growth pharma+6.4%/electronics+28.6%/engineering+9.9%/chemicals+5%/textiles+7.6%; merchandise exports overall+1.6%(petroleum-value decline drag).